

HSBC

1Q was patchy

Earnings Review

Key takeaways

- Headline returns are decent (ROA of 0.9%) but for us another patchy performance in 1Q
- HSBC missed estimates with higher than anticipated provisions
- We'd also highlight OCI losses of USD 3bn which hit capital.

There's always something

Patchy quarterly numbers are arguably not new for HSBC. 1Q26 is no exception. Whilst overall numbers are satisfactory, with the bank performing at a high level, we note the higher provisions in 1Q and the revised (worse) guidance for asset quality now for 2026. We also note the substantial losses relating to the bank's financial investments, mostly interest rate related, which did hit the bank's capital – with CET1 at the bottom of the guided range. On the positive side, the group's Wealth business had a very good quarter, although we'd add this segment also appears quite seasonal/volatile. Numbers missed consensus, with net income of \$7.3bn, flat to a year ago but much better than 4Q25 which was (also) hit by one-offs. The stock fell more than ~6% on these numbers today though, at time of writing, HSBC spreads (e.g. CDS) weren't particularly underperforming. We don't see this report as particularly positive for HSBC; it confirms our view of volatile performance and why we don't have many OWs on this name.

Asset quality turns

Lots of focus on asset quality today. Provisions of \$1.3bn (0.52% of loans) included \$0.4bn for what the bank describes as "fraud-related, secondary, securitisation exposure with a financial sponsor in the UK in our CIB business", reported by the FT as MFS (Market Financial Solutions) which entrapped Barclays earlier. There is another \$0.3bn to reflect heightened uncertainty owing to the Middle East conflict which we see as sensible. Hong Kong isn't deteriorating on the other hand. The bank has accordingly changed its guidance for the year on provisions (upwards) to 45bps (previously 40bps) and argues that the one-off exposure is idiosyncratic but it's hard not to see this as merely the credit cycle moving past its peak as we are seeing with other banks too this reporting season. Much better disclosures on private markets exposures from HSBC: committed and uncommitted total exposures of \$111bn of which \$25bn fund finance, \$9bn CIB positions, \$23bn LBOs, \$22bn private credit. Total loans of \$1tn.

All those deposits do come at a price

Reported net interest income fell 2.7% this quarter to \$8.9bn, in spite of the structural hedge increasing \$11bn to \$604bn. Total losses through Other Comprehensive Income (so below the line) were \$3bn which partly explains the \$8bn reduction in shareholders' equity this quarter, along with the impact of Hang Seng minorities. We note \$1.3bn of reported hedge losses (through OCI) and a deterioration in additional unrecognised losses from the amortised cost portfolio of \$1.4bn, so premature to talk about further share buybacks in our view. CET1 was 14% at the low point of the 14-14.5% range.

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High Grade Credit
United Kingdom
Banks

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OCI: Other Comprehensive Income

CET1: Common Equity Tier 1

Valuation & risk

HSBC (HSBC)

The bank's patchy performance limits our appetite for its bonds, although we do occasionally see value depending on currency and the curve. We are at least Marketweight cash bonds as we are reluctant to outright Underweight them owing to potential index inclusion technicals albeit we don't see an early risk of this. Yet in senior cash the bank trades expensively, in our view, on better ratings and stronger technicals. One exception to this rule is in USD senior holdco, where we like the \$5.24% '31s which offer upside vs UK and European peers and look attractive. Or the EUR 0.641 where we like the low cash price.

In CDS, HSBC has tightened even if we are not at the all time tights. We still think caution is warranted given the uncertainty (still) over Asia tariffs, in spite of the policy shift there recently and the historically messy reports from the group, hence Neutral or Buy Protection depending on valuation. 2026 guidance changed with higher provisions. We are OW the Tier 2 \$7.399% which offers an attractive yield.

Downside risk for HSBC stems from China backdrop, patchy earnings, Asia focus in a world of potentially uncertain trade tariffs. Also if Hong Kong and the UK economy perform worse than expected. We see rather uneven capital outcomes. Upside risk is better profitability for the group and restructuring benefits.

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Security/Loan pricing

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	Amt		Ratings			Yield	Spread
Security		Maturity date	Moody's/S&P/Fitch	Price	Price date	(%)	(Govt+bps)
Subordinated, EUR, Y5:CDS	350				02-May-2026	9.59	89
Senior Unsecured, EUR, Y5:CDS	350				02-May-2026	9.59	46
6.1, Senior, USD, 2042:B	750	14-JAN-2042	A3/A-/A+	105.28	04-May-2026	5.59	72
SLA, EUR, Y5:CDS					02-May-2026		46
8,, USD, Perp/2049:B	2,000	31-DEC-2049	Baa3/NR/BBB	104.13	04-May-2026	5.60	166
7.399, Subordinated, USD, 2034:B	2,000	13-Nov-2034	Baa1/BBB+/A-	110.79	04-May-2026	5.62	135
5.24, Senior, USD, 2031:B	2,250	13-May-2031	A3/A-/A+	101.31	04-May-2026	4.88	81
.641,, EUR, 2029:B	1,000	24-SEP-2029	A3/A-/A+	93.80	04-May-2026	3.27	55
4.6,, USD, Perp/2049:B	1,500	31-DEC-2049	Baa3/NR/BBB	93.74	04-May-2026	6.04	192

For pricing information refer to "Other Important Disclosures" below.

B=Bond; L=Loan; CS=Capital Security (Not including Equity Preferred); CDS=Credit Default Swap; EP=Equity Preferred

Disclosures

Important Disclosures

Credit opinion history

HSBC / HSBC

Security	Date ^{R1}	Action	Recommendation	Price
Subordinated, EUR, Y5:CDS	30-Apr-2025		Neutral	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Neutral	
Senior Unsecured, EUR, Y5:CDS	30-Apr-2025		Neutral	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Neutral	
6.1, Senior, USD, 2042:B	30-Apr-2025		Marketweight	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Marketweight	
SLA, EUR, Y5:CDS	30-Apr-2025		Buy Protection	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Buy Protection	
8,, USD, Perp/2049:B	30-Apr-2025		Marketweight	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Marketweight	
7.399, Subordinated, USD, 2034:B	30-Apr-2025		Overweight	
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Overweight	
5.24, Senior, USD, 2031:B	19-May-2025	Initial	Overweight	100.08
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Overweight	
.641,, EUR, 2029:B	18-Aug-2025	Initial	Overweight	93.58
	09-Oct-2025	Restricted	NA	NA
	14-Oct-2025	Coverage Resumed	Overweight	
4.6,, USD, Perp/2049:B	24-Nov-2025	Initial	Overweight	93.73

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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R2}	Count	Percent
Buy	130	38.92%	Buy	115	88.46%
Hold	158	47.31%	Hold	137	86.71%
Sell	46	13.77%	Sell	39	84.78%

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